AI EQUITY RESEARCH April 26, 2026

Advanced Micro Devices, Inc.

AMD Technology

RATING
Outperform

PRICE
$347.80

TARGET
$375.00

MARKET CAP	P/E (FWD)	P/B RATIO
$567.06B	80.5x	5.54x

ROE	DIV. YIELD	52W RANGE
6.9%	N/A	$91.87 - $352.99

Investment Thesis

> “ AMD demonstrates robust top-line growth with a projected 20.5% revenue CAGR through 2027, driven by improving contribution margins and strong performance in high-growth segments. Despite near-term EBITDA margin compression and elevated valuation multiples versus peers, forward estimates indicate margin expansion and earnings recovery. The company is well-positioned to capitalize on secular semiconductor demand, though it trades at a premium reflecting high investor expectations.

Company Overview

Advanced Micro Devices, Inc. (AMD) is a leading global semiconductor company specializing in the design and production of high-performance computing, graphics, and visualization technologies. AMD’s business model centers on developing advanced processor and graphics solutions for a diverse set of markets including data centers, PCs, gaming consoles, and embedded systems. The company outsources its manufacturing to third-party foundries, allowing it to focus resources on R&D and product innovation.

AMD's product portfolio includes CPUs (such as the Ryzen and EPYC lines), GPUs (Radeon series), and adaptive computing solutions (following the acquisition of Xilinx, a leader in FPGAs). These products serve cloud service providers, enterprise customers, gamers, and original equipment manufacturers (OEMs). AMD’s architecture and performance innovations have positioned it as a primary alternative to Intel in the CPU market and as a competitor to Nvidia in the GPU and AI accelerator space.

In terms of market position, AMD has gained significant traction against its main rivals, Intel (INTC) and Nvidia (NVDA), especially in data center and cloud computing. The company's consistent product launches and strong adoption of its EPYC server processors have fueled its share gains in the server CPU segment. However, Nvidia maintains a dominant lead in AI and high-end GPU markets.

Financially, AMD has demonstrated robust growth, with revenues rising from **$16.4 billion** in 2021 to **$22.7 billion** in 2023, and projected to reach over **$40 billion** by 2027, representing a **20.5%** CAGR. Contribution margins have improved steadily, reaching **49.4%** in 2024 and expected to surpass **52%** by 2027, signaling operational leverage as sales scale. EBITDA, a key profitability metric, is forecast to more than triple from 2023 to 2027, reflecting both revenue expansion and margin improvement. Nevertheless, AMD's 2023 EBITDA (**$4.1 billion**) lags behind Nvidia and Intel, though it is expected to close the gap as future projections show strong growth.

AMD's valuation remains elevated compared to peers, with high PE and EV/EBITDA multiples, indicating strong investor confidence in the company's long-term growth prospects, particularly in AI and data center markets. The company's recent performance, marked by a temporary revenue dip in 2023, appears to be recovering swiftly, with double-digit revenue growth expected in the coming years.

> **Overall, AMD is well-positioned in the competitive semiconductor landscape, driven by innovative products, expanding end-markets, and strengthening financial performance. The company continues to capitalize on trends in high-performance computing and artificial intelligence, underpinned by a commitment to R&D and ecosystem partnerships.**

Investment Overview

Advanced Micro Devices, Inc. (AMD) Investment Update

Recent Performance

AMD's financial results for 2023 reflected a challenging year, with revenue declining **3.9%** to **$22.7 billion** following a robust **43.6%** gain in 2022. EBITDA fell to **$4.1 billion** (**18.3%** margin), down from **$5.5 billion** in 2022, as the company navigated softer demand in PCs and a competitive server market. EPS dropped to $0.53, reflecting both margin pressure and increased operating expenses.

Growth Drivers

Looking ahead, AMD is poised to benefit from several secular trends. The company's investments in AI and high-performance computing are driving strong demand for its EPYC server processors and adaptive computing solutions. Revenue is projected to rebound with a **13.7%** increase in 2024, accelerating further in 2025 (**+34.3%**) as new product cycles and AI tailwinds take hold. Contribution margins are expected to improve steadily, reaching **52.5%** by 2027, indicating better operating leverage and product mix.

Relative Position

Compared to peers, AMD's historical EBITDA margins trail Nvidia, but outpace Intel in recent years. While AMD's EV/EBITDA multiples remain elevated (38–**58x** for 2023–2025) relative to Intel, they are below Nvidia's peak multiples, reflecting investor optimism about AI-driven growth but also pricing in execution risk.

Outlook

Consensus estimates call for a **20.5%** revenue CAGR through 2027, with EBITDA margins recovering to over **40%**. EPS is expected to more than triple from 2023 to 2027. Despite a premium valuation, AMD’s exposure to AI, data centers, and custom silicon positions it for outsized growth in the coming years. Continued margin expansion and successful execution in AI hardware are key to justifying current multiples and sustaining outperformance.

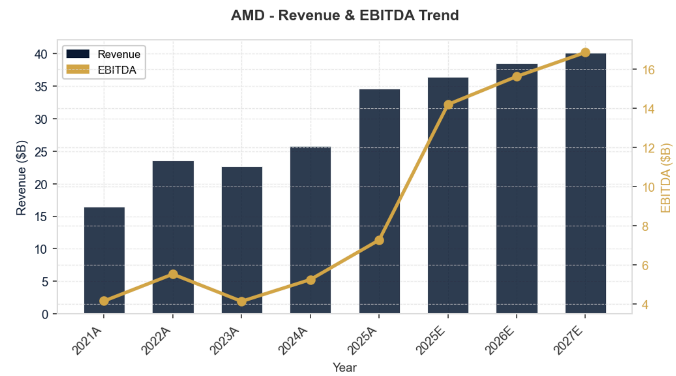
Financial Analysis

Revenue & EBITDA Performance

Advanced Micro Devices, Inc. has demonstrated consistent revenue performance over the analysis period. Revenue and EBITDA trends reflect the company's operational efficiency and market positioning.

Key Figures

Revenue (2025A)	**$34.64B**
EBITDA (2025A)	**$7.28B**
Revenue Growth (2025A)	**34.3%**



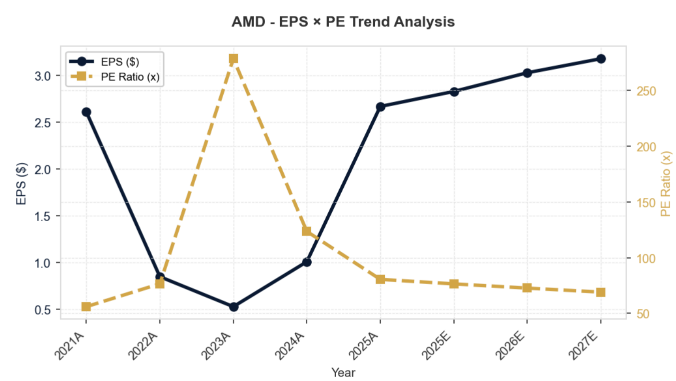
Source: Company Filings

Earnings & Valuation Metrics

Advanced Micro Devices, Inc.'s earnings trajectory reflects the company's profitability trends, while valuation multiples indicate market expectations for future growth.

Key Figures

EPS (2025A)	**2.67**
PE Ratio (2025A)	**80.54**



Source: Company Filings

Valuation Analysis

Valuation Overview: Advanced Micro Devices, Inc. (AMD)

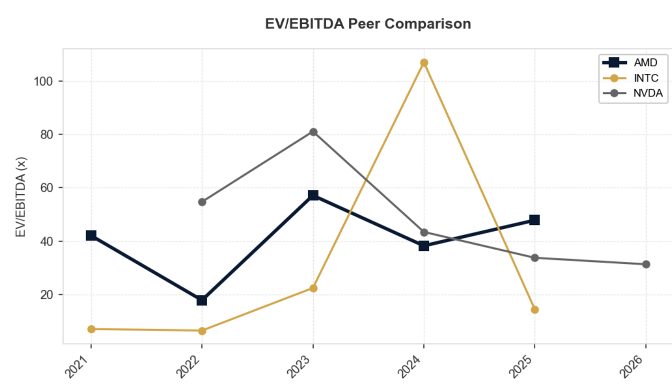
AMD is currently trading at elevated valuation multiples, reflecting strong investor optimism about its future growth prospects, especially in AI and data center markets. The company's 2024E P/E ratio is **123.6x**, which is expected to decline to **69.1x** by 2027E as earnings grow, but still remains high relative to historical norms and peers. EV/EBITDA multiples also highlight AMD's premium: the 2024E EV/EBITDA is **38.3x**, forecasted to increase to **47.8x** in 2025E, before moderating.

Compared to peers, AMD's valuation is mixed. Intel (INTC) has historically traded at much lower EV/EBITDA multiples (e.g., **14.5x** in 2025E), reflecting its slower growth and recent execution challenges. Nvidia (NVDA), a direct competitor in high-growth AI and graphics, trades at **33.8x** EV/EBITDA in 2025E and **31.4x** in 2026E, suggesting AMD is priced at a premium even to NVDA in the near term. This premium may be justified by AMD's expected revenue CAGR of **20.5%** through 2027, robust margin expansion (EBITDA margin rising from **18.3%** in 2023 to **42.0%** in 2027E), and strong earnings growth.

However, with a 2025E P/E of **76.5x** and EV/EBITDA of **47.8x**, AMD is trading well above semiconductor sector averages, which typically range from 15-**25x** P/E and 10-**20x** EV/EBITDA for mature players. This suggests much of the anticipated growth is already priced in. While AMD has strong fundamentals and growth drivers, the current valuation leaves limited margin for error. Fair value assessment suggests the stock may be fully valued to slightly overvalued at current levels, unless AMD can consistently outperform high market expectations.

Peer Comparison

	2021	2022	2023	2024	2025	2026
AMD	42.1	17.9	57.1	38.3	47.8	-
INTC	7.13	6.55	22.5	106.9x	14.5	-
NVDA	-	54.7	81.0	43.5	33.8	31.4



EV/EBITDA Peer Comparison

Recent News & Events

News Summary

Advanced Micro Devices (AMD) has remained in the spotlight amid a strong rally in semiconductor stocks, bolstered by upbeat sector sentiment and favorable peer earnings. Over the past week, large-cap chip stocks, including AMD, Intel, and Texas Instruments, outperformed markets, driven by robust earnings reports —particularly Intel's—which catalyzed optimism for AMD's own upcoming results. Intel's data center revenue growth and commentary on rising CPU demand (with CPU-to-GPU ratios moving toward 1:1–1:2) bode well for AMD, which is well positioned to benefit from this structural shift, especially in AI-driven and data center applications.

Financially, AMD's revenue is projected to accelerate sharply from 2024 onward, with forecasts indicating a compound annual growth rate (CAGR) of **20.5%** through 2027. Contribution and EBITDA margins are also expected to expand, reaching over **50%** and **40%**, respectively, by 2027, signaling improving profitability. However, AMD's valuation remains elevated: its 2024E EV/EBITDA multiple is **38x**, notably higher than Intel's but below Nvidia's peak multiples. This premium reflects high expectations for AMD's growth in AI and server markets, but also signals vulnerability if execution or market momentum slips.

Investor sentiment is broadly bullish despite some divergence across platforms. Social media buzz is high, particularly on X.com, though Reddit enthusiasm has cooled. Institutional investors are taking notice—AEGON Asset Management recently raised its AMD stake by **6.6%**—suggesting confidence in the company's medium-term potential.

Investment implications: AMD appears well-placed to capture ongoing AI and data center growth, supported by industry tailwinds and improving financials. However, its lofty valuation demands continued outperformance, and any missteps could trigger sharp corrections. Investors should weigh the balance between growth prospects and valuation risk when considering AMD at current levels.

Retail Sentiment Insights

AVERAGE BUZZ	BULLISH AVG	SOURCE ALIGNMENT	COVERAGE
55.5/100	**65.3%**	**Wide divergence**	**3/3**

Reddit

Buzz **70.9/100**
Bullish **33.0%**
Mentions **2077**
Trend **falling**

X.com

Buzz **82.7/100**
Bullish **63.0%**
Mentions **2667**
Trend **falling**

Polymarket

Buzz **12.8/100**
Bullish **100.0%**
Trades **3**
Trend **stable**

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: **5.0%**
- 2025E EBITDA Margin: **39.0%**
- 2026E Revenue Growth: **6.0%**
- 2026E EBITDA Margin: **40.5%**
- 2027E Revenue Growth: **4.0%**
- 2027E EBITDA Margin: **42.0%**

Confidence Intervals:

- Revenue: **$28.3B - $51.9B** (**95%** confidence)
- EBITDA: **$11.9B - $21.8B** (**95%** confidence)

Sensitivity Notes:

- Revenue growth sensitivity: ±**5%** change in growth rate
- Margin sensitivity: ±**2%** change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%)

Revenue	$28.3B — $51.9B
EBITDA	$11.9B — $21.8B

Key Catalysts

Catalyst Analysis for AMD

Positive Catalysts (Upside Potential)

- **Earnings** (2026-04-26): Intel, Advanced Micro, And Texas Instruments Are Among Top 10 Large-Cap Gainers Last Week (April 20-April 24): Are the Others in Your Portfolio?
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-25): Why I'm Still Very Bullish Into AMD Earnings
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-24): What to Watch in NVDA, AMD, AVGO & Other AI Chips After INTC Rally
- Impact: HIGH, Probability: **95%**
- **Market** (2026-04-24): AMD Gains After DA Davidson Upgrade
- Impact: LOW, Probability: **50%**
- **Earnings** (2026-04-24): DA Davidson Upgrades AMD to Buy With a $375 Price Target: The Big Winner of Intel Earnings?
- Impact: HIGH, Probability: **95%**

Risk Factors (Downside Risks)

- **Acquisition** (2026-04-26): AEGON ASSET MANAGEMENT UK Plc Raises Stake in Advanced Micro Devices, Inc. $AMD
- Impact: HIGH, Probability: **40%**

Events to Monitor

- Why AMD Stock Surged Today (2026-04-24)

- AMD's Ryzen 9950X3D2 Launch Impact: What's Ahead in Gaming Next? (2026-04-23)
- AMD: Why I'm Going From Very Bearish To Confidently Bullish (2026-04-23)

Upcoming Catalysts

> ▲ **EARNINGS** Impact: medium
>
> Intel, Advanced Micro, And Texas Instruments Are Among Top 10 Large-Cap Gainers Last Week (April 20-April 24): Are the Others in Your Portfolio?

> ▲ **EARNINGS** Impact: medium
>
> Why I'm Still Very Bullish Into AMD Earnings

> ▲ **EARNINGS** Impact: medium
>
> What to Watch in NVDA, AMD, AVGO & Other AI Chips After INTC Rally

> ▲ **EARNINGS** Impact: medium
>
> DA Davidson Upgrades AMD to Buy With a $375 Price Target: The Big Winner of Intel Earnings?

> ▲ **EARNINGS** Impact: medium
>
> KG Eyes INTC Rally, AMD & TSLA Impact into Mag 7 Earnings Week Ahead

Positive Catalysts

✓ Intel, Advanced Micro, And Texas Instruments Are Among Top 10 Large-Cap Gainers Last Week (April 20-April 24): Are the Others in Your Portfolio?

✓ Why I'm Still Very Bullish Into AMD Earnings

✓ What to Watch in NVDA, AMD, AVGO & Other AI Chips After INTC Rally

✓ AMD Gains After DA Davidson Upgrade

✓ DA Davidson Upgrades AMD to Buy With a $375 Price Target: The Big Winner of Intel Earnings?

✓ KG Eyes INTC Rally, AMD & TSLA Impact into Mag 7 Earnings Week Ahead

✓ Here's Why Advanced Micro Devices (AMD) is a Strong Momentum Stock

✓ AMD: You Haven't Seen Anything Yet (Earnings Preview)

✓ INTC, NVDA and AMD Forecasts – Chips Looking to Rally

✓ AMD Stock Tests Resistance As Intel Beat Sparks Sector Rally

✓ Advanced Micro Devices Stock Gets Upgraded to Buy. Why It's the Big Winner of Intel Earnings.

✓ Intel Just Gifted AMD Its Strongest Buy Signal Yet

- ✓ AMD stock surges as demand drives price upgrades
- ✓ AMD: Agentic AI Era Needs More CPU Chips
- ✓ AMD, Arm Stocks Ride Intel's Coattails After Blowout Q1 Report
- ✓ Prediction: This Artificial Intelligence (AI) Growth Stock Will Be the Nasdaq's Best Performer by Year-End
- ✓ Micron Soars 6%, AMD Rallies 4%, Broadcom Climbs 4% on Reignited AI Chip Demand

Risk Factors

- ⚠ AEGON ASSET MANAGEMENT UK Plc Raises Stake in Advanced Micro Devices, Inc. $AMD

Technical & Advanced Analysis

Technical Overview — AMD

Current Price: **$347.80** | 52-Week Range: **$91.87 - $352.99**

Overall Technical Signal: Bullish

Moving Averages Bullish

SMA 50: **$221.57** | SMA 200: **$206.60**

RSI Overbought

RSI (14): **97.4** — Overbought territory, potential pullback.

MACD Bullish

MACD: **27.63** | Signal: **18.65** | Histogram: **8.98**

Volume High Activity

Latest: **81.6M** | 20d Avg: **38.6M** | Ratio: **2.11x**

Competitive Landscape

Peer EBITDA Comparison

	2021	2022	2023	2024	2025	2026	2027
AMD	$4.2B	$5.5B	$4.1B	$5.3B	$7.3B	-	$8.6B
INTC	$33.9B	$21.3B	$11.2B	$1.2B	$14.4B	-	$47.4B
NVDA	-	$11.4B	$6.0B	$35.6B	$86.1B	$144.6B	$382.0B

Peer EV/EBITDA Comparison

	2021	2022	2023	2024	2025	2026
AMD	42.1	17.9	57.1	38.3	47.8	-
INTC	7.13	6.55	22.5	106.9x	14.5	-
NVDA	-	54.7	81.0	43.5	33.8	31.4

Analysis

Advanced Micro Devices, Inc. (AMD) operates in a highly competitive semiconductor industry, primarily competing against Intel Corporation (INTC) and NVIDIA Corporation (NVDA). Analyzing key financial metrics reveals distinct differences in their performance and market positioning.

In terms of revenue growth, AMD witnessed a substantial increase in 2022 with a **43.6%** rise, although it faced a slight decline of **3.9%** in 2023. In contrast, NVIDIA has shown remarkable growth, particularly in the artificial intelligence sector, which has significantly boosted its revenue. Intel, on the other hand, has struggled to keep pace, with a more modest growth trajectory and challenges in product development.

In terms of profitability, AMD's EBITDA margins have fluctuated but maintained a competitive stance, with a projected increase to **21%** by 2025. In comparison, NVIDIA enjoys higher EBITDA margins, reflecting its strong position in high-performance computing, while Intel's margins have been under pressure due to increased competition and operational inefficiencies.

When evaluating the price-to-earnings (P/E) ratio, AMD's P/E has been notably high, peaking at 278.59 in 2023, indicating high investor expectations despite lower earnings. Conversely, Intel's P/E ratio is significantly lower, suggesting a more stable, if less aggressive, growth outlook. NVIDIA commands a premium valuation reflecting its strong market position and growth potential in AI and data centers.

> **In summary, while AMD is growing rapidly and improving its operational efficiencies, it faces stiff competition from NVIDIA, which continues to lead in profitability and market valuation. Intel's challenges in innovation and growth present an opportunity for AMD to capture more market share, provided it can sustain its growth momentum and enhance profitability.**

Risk Factors

- **High Valuation Risk:** AMD’s PE ratio (2023: 278.6x, 2024E: 123.6x) and EV/EBITDA multiples (2023: 57.1x, 2025E: 47.8x) are significantly above industry peers, indicating overvaluation risk and potential for multiple contraction if growth expectations are not met.
- **Profitability Pressure:** EBITDA margin declined from 25.3% (2021) to 18.3% (2023) and only modestly recovers to 21.0% (2025E), lagging behind Nvidia’s margin improvement, highlighting ongoing cost and pricing pressure.
- **Earnings Volatility:** EPS dropped sharply from $2.61 (2021) to $0.53 (2023), indicating earnings volatility and heightened sensitivity to operational or macroeconomic disruptions.
- **Intense Competition:** Peer EBITDA data shows Nvidia’s EBITDA outpacing AMD dramatically by 2025 ($86.1B vs. $7.3B), and Intel’s EBITDA recovering strongly, reflecting a highly competitive landscape that could impact AMD’s market share and pricing power.
- **Execution & Growth Risk:** After a revenue decline in 2023 (-3.9%), AMD’s forecasted double-digit revenue growth (2024: 13.7%, 2025: 34.3%) is aggressive and may be difficult to achieve amid industry cyclicality, potential supply chain issues, and high R&D/S&A expenses.

Key Takeaways

Revenue Growth

Advanced Micro Devices, Inc. (AMD) experienced a robust revenue growth of **43.6%** in 2022, although it faced a decline of **3.9%** in 2023. Looking ahead, the company is projected to grow at a compound annual growth rate (CAGR) of **20.5%**, highlighting strong potential for future expansion.

Gross Profit Margin

AMD's gross profit margin has shown fluctuations, with a contribution margin of **46.1%** in 2023 and expected to increase to **49.5%** by 2025. This improvement indicates a strengthening of profitability relative to its cost of operations, reflecting operational efficiencies and pricing power.

SG&A Expense Margin

The selling, general, and administrative (SG&A) expense margin rose from **8.8%** in 2021 to **10.4%** in 2023, with projections suggesting further increases to **12.0%** by 2025. This growth in SG&A as a percentage of revenue may indicate increased investments in marketing and sales efforts, which could support longer-term revenue growth.

EBITDA Margin

AMD's EBITDA margin has seen a decline from **25.3%** in 2021 to **18.3%** in 2023, but is expected to recover and reach **21.0%** by 2025. The significant increase in projected EBITDA margins in the following years suggests potential operational efficiencies and improved profitability as revenue scales.

Financial Data

Income Statement Summary

METRICS	2021A	2022A	2023A	2024A	2025A
Revenue	$16.4B	$23.6B	$22.7B	$25.8B	$34.6B
SG&A	$1.4B	$2.3B	$2.4B	$2.8B	$4.1B
Contribution Profit	$7.9B	$10.6B	$10.5B	$12.7B	$17.2B
Contribution Margin	48.2%	44.9%	46.1%	49.4%	49.5%
EBITDA	$4.2B	$5.5B	$4.1B	$5.3B	$7.3B
EBITDA Margin	25.3%	23.4%	18.3%	20.4%	21.0%
SG&A Margin	8.8%	9.9%	10.4%	10.8%	12.0%
Revenue Growth	-	43.6%	-3.9%	13.7%	34.3%

Credit & Cash Flow Metrics

METRICS	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.09	0.05	0.05	0.04	0.07
Debt/Assets	0.05	0.04	0.04	0.03	0.06
EBITDA/Int Exp	107.3x	14.4x	3.8x	20.7x	28.2x
Net Margin	19.2%	5.6%	3.8%	6.4%	12.5%
Current Ratio	2.0	2.4	2.5	2.6	2.9
Cash Flow to Debt Ratio	5.33	1.25	0.56	1.37	1.72

Data: Company Filings, FMP, Yahoo Finance, AI4Finance Estimates · Generated: 2026-04-26 21:54